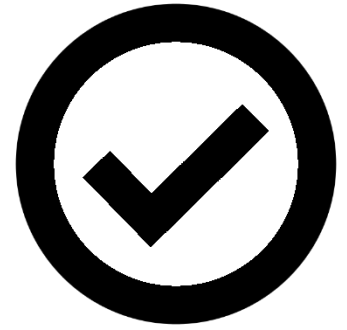




# **FINANCIAL AUDIT**

## **(170)**

### **STATE 2021**

### **PRELIMINARY**

**Presentation Points** \_\_\_\_\_ (140 points)

**Specification Points** \_\_\_\_\_ (20 points)

**TOTAL POINTS** \_\_\_\_\_ (160 points)

**Preparation Time: 20 minutes**

### **Description**

Competitors will conduct analysis of a case study that highlights an issue discovered during a financial audit and prepare a recommendation based on Generally Accepted Audit Standards (GAAS).

### **State Preliminary Scenario**

Croswell Inc. is a retailer that sells home furnishings and decorative items. You are the senior auditor on the engagement and the annual audit is nearly complete. You have reported to the audit partner that Croswell is having financial difficulties. Croswell recently lost a discrimination case that garnered a lot of publicity. Sales have been declining for some time, but the loss of such a high profile case has caused some partners to also withdraw their contracts. An internal cash flow forecast reveals that Croswell will require significant additional cash within the next 12 months to even maintain their current level of services. You are concerned that Croswell may no longer be a going concern. Describe the audit procedures that you would carry out to try to determine whether or not Croswell is a going concern.

**A contestant will be DISQUALIFIED for violations of the Copyright and Fair Use Guidelines.**

**Contestants who do not submit an entry that follows this topic will be disqualified.**

### **Answers may include, but are not limited to:**

- Review the Cash Flow Forecast
- Inquire as to whether or not the Board of Directors has considered any other forms of finance to makeup the cash shortfall
- Review the interim financial statements with an eye towards determining the level of sales and income after year-end
- Meet with the lawyers to determine the financial impact of the lawsuit and whether insurance will pay any of part of the liability
- Review the client list and determine if the number of orders will be significantly affected by the loss of clients
- Review any events after year-end that may have an impact on Croswell's financial situation